AR
2EB

ALAMEDA RESEARCH
2: ELECTRIC BOOGALOO
LONG HORIZONS · STRUCTURAL SHIFTS · IMAGINATION

INTERNAL RESEARCH · MEMO · NOT INVESTMENT ADVICE · AI-ASSISTED

2 July 2026 · the qualitative

Recursion Pharmaceuticals

$3.67

NASDAQ : RXRX · Young-Company DCF (Damodaran)

$1.87B mkt cap · 510M sh · $665M cash, zero debt · $0.665B cash (Q1'26); runway into early 2028; burn ~$340M/yr; FY25 revenue $74.7M (+27%) — all collaboration/milestone, no product sales; Down ~37% YTD to ~$3.15; ~510M shares post-Exscientia merger + ATM

THE CENTRAL QUESTION

At a ~37%-de-rated $3.15 with ~$1.3/share of net cash, is RXRX a cheap option on AI-drug-discovery validation, or a platform that funds itself toward dilutive stagnation?

Recursion runs an AI-drug-discovery platform — automated wet-lab Phenomaps plus an NVIDIA supercomputer — that maps cellular phenotypes to find drug candidates. After the Exscientia merger doubled the share count, it trades at $3.15 (~$1.6B cap), down ~37% YTD, on FY25 revenue of $74.7M that is entirely collaboration income — no approved drug. Funded into early 2028, the near-term risk is dilution, not insolvency. The DCF asks whether the platform ever yields an economically-meaningful approved drug. Weighted fair value is $3.85, +22% above spot — but the modal base sits below the price, so the answer rides the right tail.

PROBABILITY-WEIGHTED EXPECTED VALUE

$3.85 expected fair value today
+5.0% vs spot $3.67

FORWARD COMPOUNDED VALUE

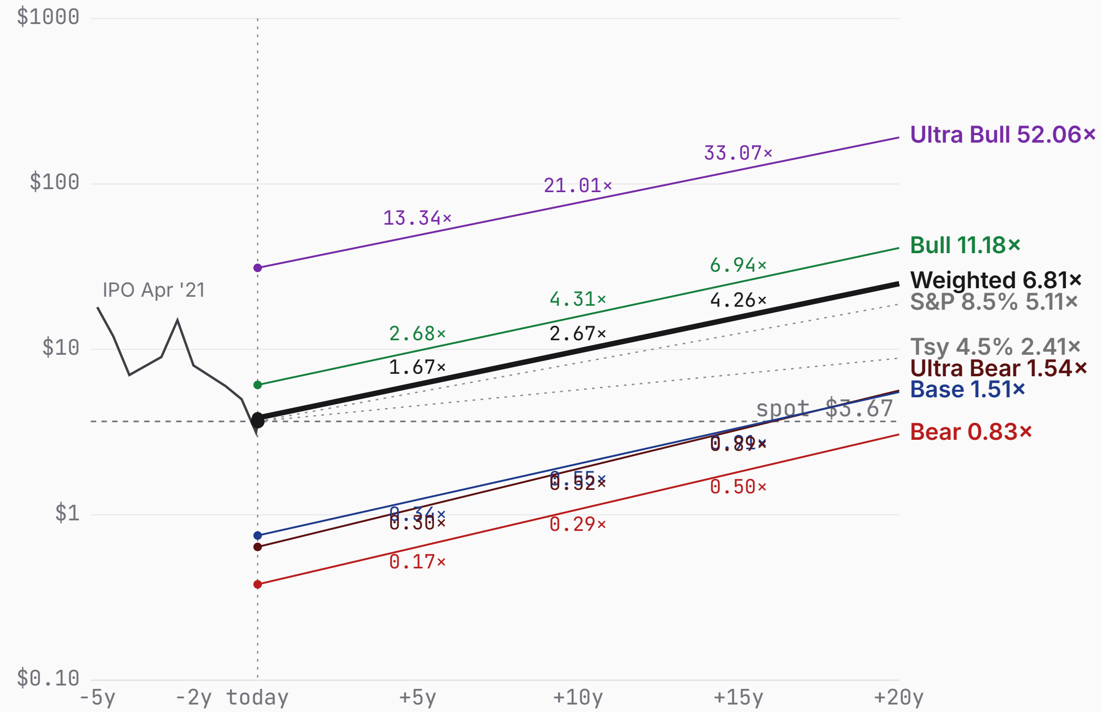
+5y	+10y	+15y	+20y
$6.14	$9.80	$15.64	$24.97
1.67× spot	2.67× spot	4.26× spot	6.81× spot

WEIGHTING RATIONALE

Ultra Bear 15% Platform never delivers; milestone-only revenue, heavy dilution toward the cash floor.
Bear 30% One or two small partnered wins; revenue stays sub-scale and dilution offsets it.
Base 32% Modest validation — a few wins plus broader partnerships; ~$0.9B revenue, still dilutive.
Bull 15% AI discovery becomes a real engine — multiple approvals, royalty and licensing income.
Ultra Bull 8% Recursion OS becomes a dominant tech-bio platform; a pharma-scale outcome.

Bull (15%) + Ultra Bull (8%) together contribute $3.40 — 88% of the $3.85 expected value despite 23% combined probability. Today's spot ($3.67) sits 5% below the weighted expected; forward-weighted value crosses spot between +5y and +10y.

PRICE + PROJECTIONS · HISTORICAL THROUGH PROBABILITY-WEIGHTED FORWARD



ULTRA BEAR	BEAR	BASE	BULL	ULTRA BULL
$0.64	$0.38	$0.75	$6.10	$31.11
-82.6% vs spot	-89.6% vs spot	-79.6% vs spot	+66.2% vs spot	+747.7% vs spot
TAM 0.3% P(fail) 85% S2C 1.0 Prob 15%	TAM 1.0% P(fail) 55% S2C 1.1 Prob 30%	TAM 1.8% P(fail) 35% S2C 1.1 Prob 32%	TAM 5.0% P(fail) 15% S2C 1.3 Prob 15%	TAM 10.4% P(fail) 8% S2C 1.5 Prob 8%
Platform never delivers; dilutive grind to the floor	A couple small partnered wins; revenue stays sub-scale	Platform validates modestly; still dilutive	AI discovery becomes a real engine	A dominant tech-bio platform

AR 2EB | ALAMEDA RESEARCH 2: ELECTRIC BOOGALOO
LONG HORIZONS · STRUCTURAL SHIFTS · IMAGINATION

Recursion Pharmaceuticals scenario narratives

PROBABILITY WEIGHTS

Ultra Bear 15% Bear 30% Base 32% Bull 15% Ultra Bull 8% · Weighted expected $3.85 (+5.0% vs spot)

ULTRA BEAR $0.64

-82.6% vs spot

Probability 15%

Platform never delivers; dilutive grind to the floor

WHY 15%

A 15% read. The platform has zero approved drugs and NVIDIA fully exited its equity in Feb 2026 — a negative external signal. An 85% p_fail reflects that AI-bio has, industry-wide, not yet produced an approved drug.

WHAT HAPPENS

The Recursion OS produces no approved, economically-meaningful drug. Revenue stays milestone-only and sub-scale — about $0.15B by FY35 at a 3% operating margin — as partnered programs stall and pharma interest in the platform fades. The discovery engine is real but never converts into product royalties.

With nothing to fund itself, the company raises roughly $1.15B over the decade, pushing the share count toward 970M. The DCF lands at −$0.24; the $0.80 distress floor and residual cash drive the expected value to $0.64. The bet expires worthless except for the balance sheet.

BEAR $0.38

-89.6% vs spot

Probability 30%

A couple small partnered wins; revenue stays sub-scale

WHY 30%

A 30% read — the heaviest single weight. Reflects partial platform validation: Roche, Sanofi, and Bayer deals exist and Sanofi paid a fifth milestone in Feb 2026, but a 55% p_fail captures how rarely partnered candidates clear.

WHAT HAPPENS

One or two partnered programs reach approval or meaningful royalty, but the platform never becomes a self-sustaining engine. Revenue reaches about $0.50B by FY35 at a 22% operating margin — better than milestone-only, yet far short of the scale needed to justify a platform multiple.

Continued spending forces roughly $1.1B of raises, lifting shares toward 877M and offsetting much of the operating progress. The DCF is −$0.14 and the expected value $0.38. Real science, but the economics never outrun the dilution.

BASE $0.75

-79.6% vs spot

Probability 32%

Platform validates modestly; still dilutive

WHY 32%

A 32% read, the modal case. A 35% p_fail assumes the platform delivers at least modest product or royalty economics within the decade — consistent with three named pharma partners but no approved drug yet.

WHAT HAPPENS

Recursion OS proves itself in a limited way — a couple of pipeline or royalty wins plus expanding pharma partnerships. Revenue reaches about $0.90B by FY35 at a 28% operating margin as collaboration income broadens into early product and royalty streams. The platform earns credibility without becoming dominant.

Growth still outpaces internal funding, so roughly $1.2B is raised and shares drift toward 810M. The DCF is $0.72 and the expected value $0.75 — both below spot. The modal outcome validates the science yet leaves the equity worth less than today's price.

BULL $6.10

+66.2% vs spot

Probability 15%

AI discovery becomes a real engine

WHY 15%

A 15% read. Requires the data flywheel to translate into repeated approvals — a 15% p_fail. Anchored to the combo and registrational readouts due 2026-2027, which would be the first hard evidence the engine produces drugs.

WHAT HAPPENS

The platform converts into a genuine discovery engine — multiple approvals across the pipeline (REC-617, REC-4881, REC-1245 and successors), plus royalty and platform-licensing income. Revenue reaches about $2.50B by FY35 at a 35% operating margin as the Phenomap flywheel compounds into repeatable output.

Milestones and royalties fund more of the spend, so dilution eases and shares settle near 616M. The DCF is $7.03 and the expected value $6.10 — more than double spot. This is the first scenario where platform value clearly exceeds the price paid.

ULTRA BULL $31.11

+747.7% vs spot

Probability 8%

A dominant tech-bio platform

WHY 8%

An 8% read. The lowest-probability, highest-payoff outcome: an 8% p_fail and a winner-take-most platform result. It assumes the Phenomap data advantage becomes a durable cornered resource the rest of AI-bio cannot replicate.

WHAT HAPPENS

Recursion OS becomes a dominant tech-bio platform — the standard layer for AI-driven discovery, licensed broadly and generating a major pharma-scale outcome. Revenue reaches about $5.20B by FY35 at a 40% operating margin as platform economics, not single drugs, drive the model.

Self-funding largely replaces dilution and the equity compounds toward roughly $19B. The DCF is $33.75 and the expected value $31.11 — roughly ten times spot. This tail is where the bulk of the weighted value lives, and it depends on the platform cornering the discovery resource.

INTERNAL RESEARCH · MEMO · NOT INVESTMENT ADVICE · AI-ASSISTED

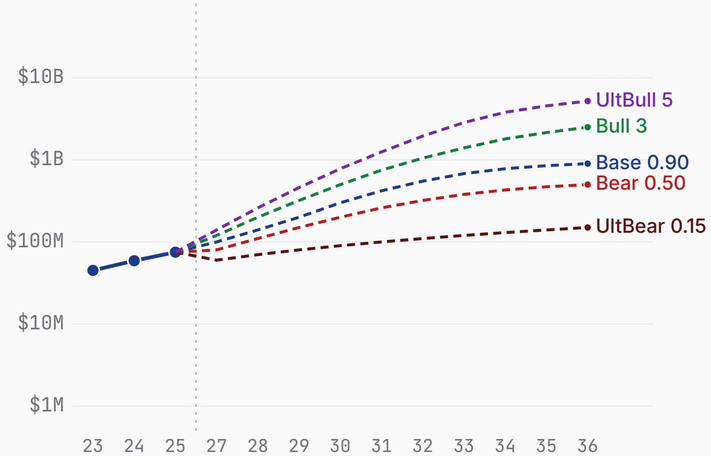
2 July 2026 · the snapshot

Recursion Pharmaceuticals business snapshot

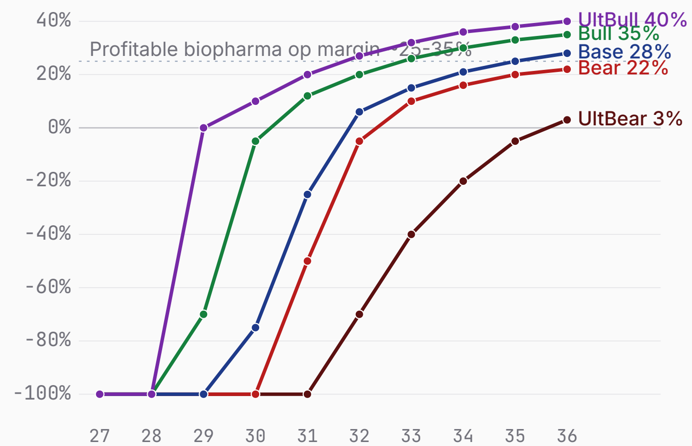
Bear $0.38 Base $0.75 Bull $6.10

FY23-FY25 history + FY26-FY35 scenario projections · fiscal years end Dec 31 · Q1'26 (May 2026) release

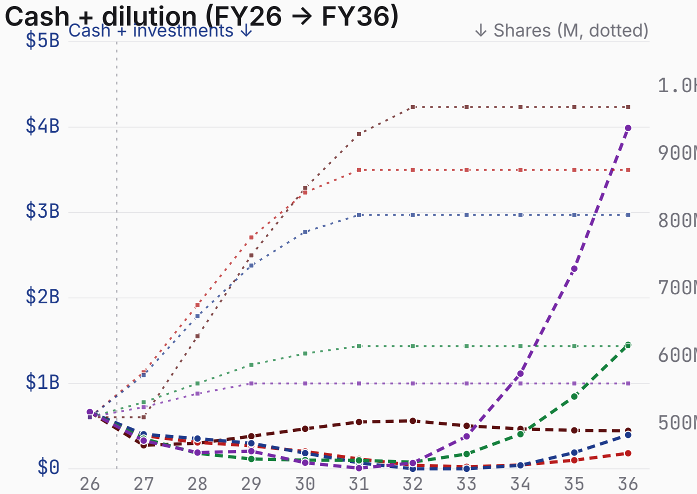
Revenue — history + scenarios to FY36 (log)



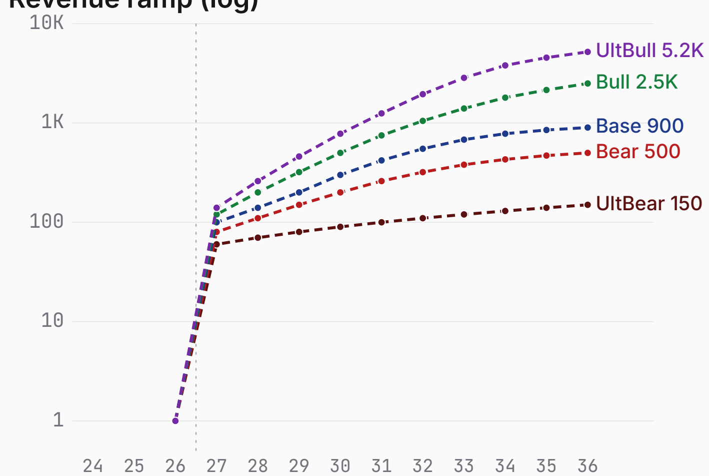
Path to profitability — op margin (FY27→FY36)



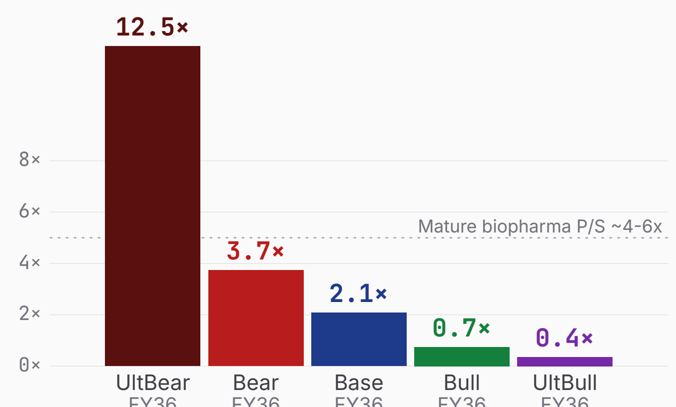
Cash + dilution (FY26 → FY36)



Revenue ramp (log)

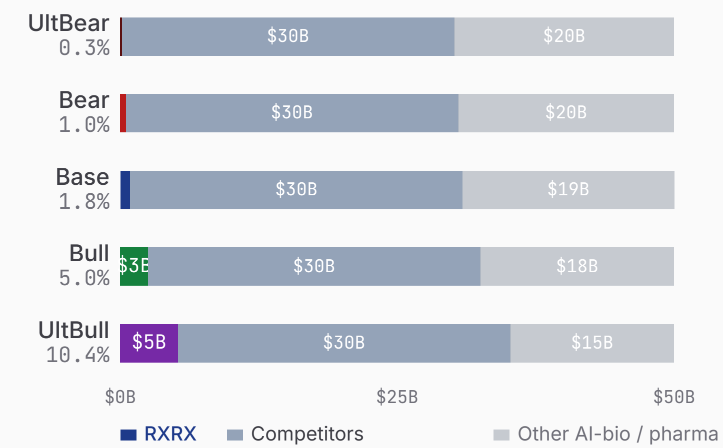


$1.87B mkt cap as P/S on FY36 rev



At ~21x sales on milestone-only revenue, the price is platform optionality, not fundamentals.

$50B AI-enabled drug-discovery value — RXRX share



Sources: RXRX FY2025 results + Q1'26 8-K (CIK 1601830), company runway/burn guidance. Revenue is collaboration/milestone income (no product sales). FCF is NOL-shielded pre-tax over the explicit window (documented simplification). TAM: a serviceable slice of AI-enabled drug-discovery value, ~$50B.

Recursion Pharmaceuticals 7 Powers · the moat, scored

Bear $0.38 Base $0.75 Bull $6.10

Arena. AI-driven drug discovery — turning proprietary biological data into approved drugs — where RXRX competes with private AI-bio labs, one public peer, and big-pharma in-house AI.

POWER ORIGINATION
origination window: open

POWER ORIGINATION · 7 POWERS

Power	Assessment
Scale Economies	Compute and wet-lab automation scale, but no fixed-cost moat until products generate revenue.
Network Economies	No two-sided network; more partners help data, but value does not compound across users.
Counter-Positioning	Tech-bio model big pharma is slow to copy, but pharma is building its own AI in parallel.
Switching Costs	Multi-year collaborations create some stickiness, but partners run several AI vendors at once.
Branding	No brand power pre-approval; credibility rests on data, not name.
Cornered Resource · thesis leans here	The Phenomap dataset and BioHive-2 are the strongest candidate — proprietary, hard to replicate at scale, but unproven as a drug-output advantage.
Process Power	Integrated discovery workflow is distinctive but not yet shown to produce approved drugs repeatably.

THE RACE · NAMED RIVALS

Insilico Medicine — Private (VC-backed)
~0% terminal share · Generative-AI discovery, clinical-stage pipeline; well-funded private rival

Isomorphic Labs — Alphabet-funded
~0% terminal share · Alphabet/DeepMind spinout; AlphaFold lineage and deep capital

Schrodinger — Public equity
~0% terminal share · Physics-based computational platform plus owned pipeline; the listed comp

Big-pharma in-house AI — Pharma balance sheets
~0% terminal share · Roche, Sanofi, Novartis building internal AI — partners and potential substitutes

LEAD / LAG · FALSIFIERS

Approved drugs from AI discovery	Zero vs Zero (Insilico/Isomorphic/Schrodinger)	EVEN
Proprietary phenotypic data scale	Industry-leading Phenomap library vs Smaller / model-based	LEADING
Capital and balance-sheet depth	~$0.665B cash, dilution-funded vs Deeper (Alphabet, big pharma)	LAGGING

COMPETITIVE READ

No durable Power is originated yet — like all AI-bio, RXRX has zero approved drugs, so switching costs, branding and scale economies are still latent. The one candidate is a cornered resource: the Phenomap dataset and BioHive-2 compute generate proprietary phenotypic data at a scale rivals cannot easily match. The bet is whether that data-and-Phenomap flywheel converts into repeatable approved drugs before well-capitalized private labs (Insilico, Isomorphic) or pharma's own AI close the gap. The falsifier the bull must clear is the 2026-2027 readouts producing real clinical and royalty economics — until a drug ships, the resource is unproven and the Power window stays open, not won.

Recursion Pharmaceuticals show your work

Bear $0.38 Base $0.75 Bull $6.10 · Weighted $3.85 (+5.0%)

ULTRA BEAR $0.64

ASSUMPTIONS

TAM Year-10 ($B)	50
Mature share (%)	0.3
Mature op margin (%)	3
Sales-to-capital	1.0
Terminal WACC (%)	11.5
Terminal growth (%)	3.0
P(failure) (%)	85
Scenario probability (%)	15

10-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY27	0.06	-550%	-0.32	-0.28
FY28	0.07	-380%	-0.28	-0.21
FY29	0.08	-260%	-0.22	-0.15
FY30	0.09	-170%	-0.16	-0.10
FY31	0.10	-110%	-0.12	-0.06
FY32	0.11	-70%	-0.09	-0.04
FY33	0.12	-40%	-0.06	-0.02
FY34	0.13	-20%	-0.04	-0.01
FY35	0.14	-5%	-0.02	-0.01
FY36	0.15	+3%	-0.01	-0.00

Σ PV explicit FCF	-0.88
+ PV terminal (g 3.0%)	-0.02

EQUITY BUILD · $B & PER SHARE

Operating EV	$-0.90B
+ Cash & investments	$0.67B
= Equity value	$-0.23B
Raised over period	$1.15B
Dilution by FY36	+90%
FY36 shares (M)	970
DCF per share	$-0.24
× (1−P_fail) [15%]	$-0.04
+ P_fail × distress [85% × $0.80]	$0.68
= Expected per share	**$0.64**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$1.10	$1.90	$3.28	$5.65
0.30×	0.52×	0.89×	1.54×

BEAR $0.38

ASSUMPTIONS

TAM Year-10 ($B)	50
Mature share (%)	1.0
Mature op margin (%)	22
Sales-to-capital	1.1
Terminal WACC (%)	11.0
Terminal growth (%)	3.5
P(failure) (%)	55
Scenario probability (%)	30

10-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY27	0.08	-500%	-0.41	-0.35
FY28	0.11	-320%	-0.38	-0.29
FY29	0.15	-200%	-0.34	-0.23
FY30	0.20	-110%	-0.27	-0.16
FY31	0.26	-50%	-0.19	-0.10
FY32	0.32	-5%	-0.07	-0.04
FY33	0.38	+10%	-0.02	-0.01
FY34	0.43	+16%	+0.02	+0.01
FY35	0.47	+20%	+0.06	+0.02
FY36	0.50	+22%	+0.08	+0.03

Σ PV explicit FCF	-1.13
+ PV terminal (g 3.5%)	0.34

EQUITY BUILD · $B & PER SHARE

Operating EV	$-0.79B
+ Cash & investments	$0.67B
= Equity value	$-0.12B
Raised over period	$1.10B
Dilution by FY36	+72%
FY36 shares (M)	877
DCF per share	$-0.14
× (1−P_fail) [45%]	$-0.06
+ P_fail × distress [55% × $0.80]	$0.44
= Expected per share	**$0.38**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$0.64	$1.08	$1.82	$3.06
0.17×	0.29×	0.50×	0.83×

BASE $0.75

ASSUMPTIONS

TAM Year-10 ($B)	50
Mature share (%)	1.8
Mature op margin (%)	28
Sales-to-capital	1.1
Terminal WACC (%)	10.5
Terminal growth (%)	4.0
P(failure) (%)	35
Scenario probability (%)	32

10-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY27	0.10	-420%	-0.44	-0.39
FY28	0.14	-260%	-0.40	-0.31
FY29	0.20	-150%	-0.35	-0.24
FY30	0.30	-75%	-0.32	-0.19
FY31	0.42	-25%	-0.21	-0.12
FY32	0.55	+6%	-0.09	-0.04
FY33	0.68	+15%	-0.02	-0.01
FY34	0.78	+21%	+0.07	+0.03
FY35	0.85	+25%	+0.15	+0.05
FY36	0.90	+28%	+0.21	+0.07

Σ PV explicit FCF	-1.16
+ PV terminal (g 4.0%)	1.07

EQUITY BUILD · $B & PER SHARE

Operating EV	$-0.09B
+ Cash & investments	$0.67B
= Equity value	$0.58B
Raised over period	$1.20B
Dilution by FY36	+59%
FY36 shares (M)	810
DCF per share	$0.72
× (1−P_fail) [65%]	$0.47
+ P_fail × distress [35% × $0.80]	$0.28
= Expected per share	**$0.75**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$1.24	$2.04	$3.35	$5.52
0.34×	0.55×	0.91×	1.51×

BULL $6.10

ASSUMPTIONS

TAM Year-10 ($B)	50
Mature share (%)	5.0
Mature op margin (%)	35
Sales-to-capital	1.3
Terminal WACC (%)	10.0
Terminal growth (%)	5.0
P(failure) (%)	15
Scenario probability (%)	15

10-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY27	0.12	-350%	-0.46	-0.40
FY28	0.20	-180%	-0.42	-0.33
FY29	0.32	-70%	-0.32	-0.22
FY30	0.50	-5%	-0.16	-0.10
FY31	0.75	+12%	-0.10	-0.06
FY32	1.05	+20%	-0.02	-0.01
FY33	1.40	+26%	+0.10	+0.04
FY34	1.80	+30%	+0.23	+0.10
FY35	2.15	+33%	+0.44	+0.16
FY36	2.50	+35%	+0.61	+0.20

Σ PV explicit FCF	-0.62
+ PV terminal (g 5.0%)	4.29

EQUITY BUILD · $B & PER SHARE

Operating EV	$3.67B
+ Cash & investments	$0.67B
= Equity value	$4.33B
Raised over period	$0.95B
Dilution by FY36	+21%
FY36 shares (M)	616
DCF per share	$7.03
× (1−P_fail) [85%]	$5.98
+ P_fail × distress [15% × $0.80]	$0.12
= Expected per share	**$6.10**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$9.82	$15.82	$25.48	$41.04
2.68×	4.31×	6.94×	11.18×

ULTRA BULL $31.11

ASSUMPTIONS

TAM Year-10 ($B)	50
Mature share (%)	10.4
Mature op margin (%)	40
Sales-to-capital	1.5
Terminal WACC (%)	9.5
Terminal growth (%)	6.0
P(failure) (%)	8
Scenario probability (%)	8

10-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY27	0.14	-280%	-0.43	-0.39
FY28	0.26	-100%	-0.34	-0.27
FY29	0.46	+0%	-0.13	-0.09
FY30	0.78	+10%	-0.14	-0.09
FY31	1.25	+20%	-0.06	-0.04
FY32	1.95	+27%	+0.06	+0.03
FY33	2.85	+32%	+0.31	+0.15
FY34	3.80	+36%	+0.73	+0.31
FY35	4.55	+38%	+1.23	+0.47
FY36	5.20	+40%	+1.65	+0.58

Σ PV explicit FCF	+0.67
+ PV terminal (g 6.0%)	17.57

EQUITY BUILD · $B & PER SHARE

Operating EV	$18.24B
+ Cash & investments	$0.67B
= Equity value	$18.90B
Raised over period	$0.50B
Dilution by FY36	+10%
FY36 shares (M)	560
DCF per share	$33.75
× (1−P_fail) [92%]	$31.05
+ P_fail × distress [8% × $0.80]	$0.06
= Expected per share	**$31.11**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$48.97	$77.10	$121.37	$191.07
13.34×	21.01×	33.07×	52.06×

Recursion Pharmaceuticals People · Opportunity · Context · Deal

Bear $0.38 Base $0.75 Bull $6.10

Underwrite the position the way a venture investor underwrites a round — across all four legs, public or private. **People** is the leg scored here (observable only); Opportunity, Context and Deal cross-reference the rest of the memo.

PEOPLE · WHO RUNS / OWNS / FUNDS IT

Najat Khan, Ph.D. 0 yrs in seat

1% insider ownership

MEDIUM key-person risk

Capital allocation (realized)
A leadership transition is in progress: co-founder Chris Gibson stepped down as CEO and Najat Khan (non-founder; joined 2024 as Chief R&D/Commercial Officer, ex-J&J Chief Data Science Officer, ex-BCG) became President & CEO effective January 1, 2026. Capital goes to the AI drug-discovery platform and the 2026-2027 clinical readouts; the all-stock Exscientia acquisition closed in early 2025 (Recursion holders ~74% / Exscientia ~26%). Pre-product and cash-consuming — no dividend or buyback. NVIDIA fully exited its stake in February 2026.

Incentive alignment
Insider economic ownership is low: founder Gibson held ~1% economically after his June 2026 filing, and the new CEO's alignment is option-heavy rather than a founding stake. The dominant alignment lever the thesis relied on — the founder — is being removed as Gibson exits.

GOVERNANCE FLAGS

- dual-class (Class B = 10 votes) but effectively collapsed: only ~5.5M Class B remain versus ~522M Class A, and the structure auto-sunsets by ~2027
- co-founder Chris Gibson stepped down as CEO (Jan 2026) and did not seek re-election to the board at the June 2026 annual meeting — founder leaving entirely
- CEO handed to a non-founder professional (Khan) after ~12 years of founder leadership — a transition year
- NVIDIA fully exited its equity stake (February 2026)

THE FOUR LEGS

People ●●●○○
observable composite · 1–5

Opportunity
The scenario distribution · the Page-3 business snapshot

Context
The 7 Powers analysis (Power Origination)

Deal
Open-market purchase = the deal: entry price vs. the scenario distribution (the +22.3% finding) + position sizing.

> **PEOPLE READ**
> A transition year: the founder is stepping off both the CEO seat (January 2026) and the board (June 2026), and a non-founder professional now runs the company — which removes the founder-alignment leg but also retires the dual-class super-voting (already nearly fully converted, sunsetting ~2027) toward one-share-one-vote. Insider economic ownership is low. The platform, not any individual, is the asset, so key-person risk is moderate rather than high.

Recursion Pharmaceuticals supporting analysis · disclaimers · glossary

Bear $0.38 Base $0.75 Bull $6.10

PUSHBACK · WHY THE BASE CASE IS TOO HARSH

1 **Cash cushion is real**
~$1.3/share of net cash and runway to early 2028 mean the near-term risk is dilution, not insolvency — the floor is firm.

2 **Three pharma partners paying**
Roche/Genentech ($213M received), Sanofi ($134M, fifth milestone Feb 2026) and Bayer validate that pharma will pay for the platform.

3 **De-rated price, fat right tail**
Down ~37% YTD, the equity is a cheap option — ~88% of the expected value sits in the bull and ultra-bull, priced lightly.

4 **Compute-scale advantage**
BioHive-2 plus automated Phenomaps generate proprietary phenotypic data at a scale rivals cannot easily match — the raw material of a cornered resource.

5 **Milestones could self-fund**
If readouts hit, milestone and royalty income reduce future raises, shrinking the dilution that drags the base and bear.

FALSIFICATION TRIGGERS

Bull validation
REC-617 combo data (1H27) and REC-4881 registrational path (2H26) read out positive; new or expanded pharma deals with upfront and royalty terms; raises shrink as milestones fund spend.

Bear validation
Pipeline readouts slip or disappoint; milestone revenue stays lumpy (Q1'26 was only $6.5M); an equity raise on weak terms confirms dilutive stagnation; partners do not expand.

Reframe needed
A drug actually reaches approval and royalty economics, shifting the story from option-on-platform to cash-flow; or a partner walks and the platform thesis breaks.

DISCLAIMERS · PLEASE READ BEFORE USING THIS DOCUMENT

Not investment advice.
This document is produced for entertainment and educational purposes only by an individual amateur investor. "Alameda Research 2: Electric Boogaloo" is the unincorporated personal concept of one person and is not a registered investment management entity. Nothing herein constitutes investment advice, a recommendation, or a solicitation to buy or sell any security.

Not a professional.
The author is not a registered investment advisor, broker-dealer, CFA charterholder, certified financial planner, or licensed financial professional of any kind. The author has no formal training in equity research or capital markets. No fiduciary relationship is created by reading this document.

AI-assisted analysis.
Substantial portions of this analysis were produced with the assistance of large language models. LLMs are known to fabricate facts, miscalculate numbers, hallucinate sources, and present incorrect information with high apparent confidence. Every figure, claim, and projection in this document should be independently verified before acting on it.

Forward-looking statements.
Scenarios, valuations, projections, and any forward-looking statements involve substantial assumptions and uncertainty. Actual results may differ materially from those projected. Past performance is not indicative of future results. The model is a model; reality is not.

Author may hold positions.
The author may own, intend to acquire, or hold short exposure to $RXRX or related securities at any time. Positions may change without notice and without an update to this document. Do not assume the author's positions match the tone of the analysis.

Do your own research.
Do not make investment decisions on the basis of this document. Consult a licensed financial professional and read the company's official SEC filings (10-K, 10-Q, 8-K, proxy) before forming any investment view. If you wouldn't trust your retirement to a chatbot, don't trust this either.

GLOSSARY · CONCEPTS REFERENCED IN THE NARRATIVE

Recursion OS — Recursion's integrated platform — automated wet-lab biology plus AI/supercomputing — for finding and advancing drug candidates.

Phenomap — A large map of how cells change appearance (phenotype) under genetic or chemical perturbations, used to spot disease-relevant drug effects.

Milestone / collaboration revenue — Payments from pharma partners (Roche, Sanofi, Bayer) for upfronts and progress, not from selling an approved product — RXRX's only revenue today.

p_fail — The modeled probability the scenario ends in failure (no economically-meaningful drug), driving the equity toward the distress floor.

Sales-to-capital (s2c) — How much new revenue each dollar of reinvested capital produces; sets how fast revenue can grow before fresh capital is needed.

Distress floor — The ~$0.80/share residual value (cash and salvage) the equity defaults to in a failure outcome, setting a floor under the expected value.